## *Example 48: India's petroleum sector liberalization*

The liberalization of petroleum pricing in India shows an interesting success story in sequencing. First came the decision to do this in stages and not induce any sudden shock. The actions began by giving ONGC the international price for crude oil, so as to establish parity with incentives based on global price for exploration and extraction. This was an easy first move which did not impinge upon the population.

Petroleum products are universal intermediates, and the short-term elasticity of demand is very small. There is a large low-income population for whom, low price inelasticity implies that fuel price hikes are tantamount to an income shock. Hence, price liberalization for consumer products, kerosene and LPG, should be back-ended. Therefore, the sequencing for price decontrol that was adopted was industrial products (naphtha, fuel oil) followed by transportation fuels followed by cooking fuel.

## *Example 49: India's trade policy reform*

The story of trade policy reform in India is also similarly interesting. When our policymakers worked on trade policy reforms in 1991, they shrewdly designed the sequencing to counteract the opposition of the 'Mumbai Club'. The sequencing of tariff cuts was designed so as to first improve competitiveness of incumbents, through trade liberalization of industrial inputs such as capital goods and intermediates.

The first stage was the liberalization of capital goods imports, where the only losers were incumbent public sector companies such as HMT. This was welcomed by private manufacturers as they got better and cheaper equipment. The second stage was to liberalize intermediate goods. This was also welcomed by private manufacturers. This helped many Indian firms gain confidence about dealing with import competition. Indeed, there was a great surge of Indian firms who began *exporting*, when given cheaper inputs